

Eaton Corporation plc

NYSE: ETN | Industrials — Electrical Equipment & Power Management | Diversified Industrials

RATING	CMP	12-MTH TARGET	UPSIDE	HORIZON
ACCUMULATE	\$419.73	\$470	+12.0%	12-18 mo

Thesis: Best-positioned pure-play on the AI/data-center power super-cycle; backlog visibility offsets a full valuation.

Market Cap	\$162.98 B	P/E (TTM)	40.85x
Enterprise Value	\$184.43 B	Forward P/E	29.67x
52-Wk Range	\$311.92 - \$435.43	EV / EBITDA	29.08x
Shares Out	388.3 M	P/B	8.22x
Dividend / Yield	\$4.40 / 1.05%	ROE (TTM)	20.84%
Book Value / Sh	\$50.79	ROCE (FY25)	16.69%
Net Debt	\$21.08 B	Net Debt / EBITDA	3.39x*
Beta (5Y)	1.24	Analyst Consensus	Buy (29) - PT \$451.73

* Net Debt/EBITDA spikes to 3.4x on a TTM basis after the \$9.5bn Boyd Thermal close (Mar-2026); FY2025 was 1.6x. Source: stockanalysis.com, fetched 03-Jun-2026.

1. SNAPSHOT & RECOMMENDATION

- **Company:** Eaton Corporation plc — Irish-domiciled, US-listed (NYSE) intelligent power-management major; 4 segments (Electrical Americas, Electrical Global, Aerospace, Mobility), ~97,000 employees.
- **Rating:** ACCUMULATE (Medium conviction). 12-month target \$470 (+12.0% from \$419.73); total return ~13% incl. ~1% dividend. Buy the secular story on pullbacks rather than chasing the 52-week high.
- **Why now:** Electrical Americas backlog up 44% to \$14.5bn, data-center orders up ~240% YoY, and FY2026 organic guidance raised to 9-11% — multi-year demand is being locked in.
- **The catch:** Q1-26 GAAP EPS fell to \$2.22 (adj. \$2.81) as Boyd deal costs, financing and Electrical Americas capacity spend compressed margins 120bps; the stock fell ~6% on results despite the raised guide.
- **Valuation:** 40.9x trailing / 29.7x forward P/E, 8.2x book — a deserved quality premium, but the margin of safety at \$420 is thin and embeds flawless execution on the data-center ramp + Boyd integration.

Analyst: MPM Institutional Research desk | Report date: 03 June 2026 | All figures from stockanalysis.com unless noted.

2. INVESTMENT THESIS

- **Reason 1 — Structural data-center power demand:** Data centers were ~21% of 2025 sales and order intake is inflecting violently (data-center orders +~240% YoY in Q1-26; Electrical Americas rolling orders +42% vs -4% a year ago). With a \$14.5bn Electrical Americas backlog (+44%) and 1.2x book-to-bill, revenue visibility extends well into 2027-28.
- **Reason 2 — Boyd Thermal makes Eaton a grid-to-chip + liquid-cooling supplier:** The \$9.5bn Boyd deal (closed 12-Mar-2026, ~\$1.7bn 2026 sales) adds AI-critical liquid cooling, letting Eaton sell an end-to-end power-and-thermal stack to hyperscalers — a differentiator vs pure electrical peers, with cross-sell upside through 2027-28.
- **Reason 3 — Margin + mix self-help:** Segment margins are guided to 24.1-24.5% for FY2026 with Electrical Americas at 28.8-29.2% once capacity investments anniversary; operating margin has already climbed from 14.6% (FY22) to ~19% (FY25), and the planned Mobility spin removes the lowest-margin (~11.6%) drag.
- **Near-term catalyst (6-12 mo):** Quarterly evidence that Electrical Americas margins re-expand toward the ~29% guide (reversing the Q1 -440bps capacity drag) plus Boyd accretion — the single swing factor for the stock after the ~6% post-Q1 sell-off.
- **Biggest structural risk:** A data-center capex digestion / AI-spend pause would hit the highest-multiple part of the order book hardest; at 29.7x forward earnings the stock is priced for the super-cycle to continue uninterrupted.

3. BUSINESS OVERVIEW

- **What it does:** Eaton is an intelligent power-management company — electrical components & systems (breakers, switchgear, UPS, power distribution), aerospace fuel/hydraulic/electrical systems, vehicle drivetrain & eMobility — sold to utilities, data centers, industrials, buildings, machine builders, OEMs and defence.
- **Revenue mix (FY2025 ~\$27.4bn):** Electrical Americas is the engine (Q1-26 ~48% of sales, ~\$3.6bn/qtr), Electrical Global ~26% (~\$1.95bn), Aerospace ~15% (~\$1.14bn), Mobility ~10% (~\$0.77bn). Electrical (Americas + Global) is ~75% of the group and the value driver.
- **End-market vectors:** Data centers (~21% of sales, fastest-growing), utility/grid, commercial & industrial buildings, machine OEMs, commercial & defence aerospace — all riding electrification, AI compute, grid modernisation and reshoring.
- **Order book & visibility:** Record backlogs — Electrical Americas \$14.5bn (+44%), Electrical Global +73%, Aerospace +28% — with book-to-bill of 1.2x / 1.1x / 1.1x respectively, the strongest forward cover in the company's history.
- **Strategic moves (last 12 mo):** Closed \$9.5bn Boyd Thermal (liquid cooling, Mar-26); investing \$50m+ in a new Virginia data-center campus; partnered with Siemens Energy on fast-track data-center builds; announced separation of the Mobility Group into a standalone listed company by end of Q1-2027.
- **Ownership & structure:** No promoter — a widely-held US large-cap; institutions own ~86.8%, insiders ~0.06%, float ~387.7m shares. Domiciled in Ireland (legacy of the 2012 Cooper Industries deal); reports in USD on a December year-end.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Demand backdrop:** Global electricity demand is projected to rise ~57% by 2050 as AI compute, electrification of transport/heat and grid build-out converge — a multi-decade 'electrical super-cycle' that lifts the whole electrical-equipment complex.
- **Tailwinds:** AI/hyperscale data-center capex, US grid replacement & interconnection backlog, reshoring of manufacturing (IRA/CHIPS-era megaprojects), and electrification of buildings & vehicles. Eaton tracks a large North-American 'megaproject' pipeline as a leading indicator.
- **Headwinds:** Capex cyclicality and a possible AI-spend digestion; copper/steel and electronic-component cost inflation; skilled-labour and capacity constraints; FX translation (USD strength); and rate-sensitive non-residential construction.
- **Moat — Scale: STRONG.** Top-3 global electrical franchise with installed base, code-compliant product breadth and hyperscaler relationships few can match.
- **Moat — Switching costs: STRONG.** Spec'd-in electrical infrastructure, long qualification cycles (esp. aerospace & data center) and service/aftermarket lock-in.
- **Moat — Pricing power: MODERATE-STRONG.** Backlog + tight capacity support price/cost realisation, though large hyperscale customers concentrate buyer power.
- **Moat — IP / Distribution: MODERATE.** Deep electrical engineering & new liquid-cooling IP (Boyd); broad distributor + direct channel, but automation-software depth trails Rockwell/Siemens.
- **Value-chain positioning:** Eaton sits as a components-to-systems-to-solutions player — increasingly selling integrated 'grid-to-chip' power + thermal architectures rather than discrete boxes, moving up the value chain into design-and-build.

Listed peer set (stockanalysis.com, fetched 03-Jun-2026):

Company (Ticker)	CMP (\$)	Mkt Cap (\$B)	TTM Rev (\$B)	ROCE %
Eaton (ETN)	419.73	162.98	28.52	12.2 / 16.7^
ABB Ltd (ABB)	109.12	198.59	34.57	23.8
Emerson Electric (EMR)	142.03	78.72	18.32	14.3
Rockwell Automation (ROK)	463.41	51.16	8.80	22.1
Vertiv Holdings (VRT)	334.49	128.18	10.84	25.3

^ ETN ROCE shown TTM (12.2%, diluted by the just-closed Boyd capital) vs FY2025 (16.7%). Peers on TTM basis.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Paulo Ruiz became CEO on 01-Jun-2025 (ex-President/COO), succeeding long-tenured Craig Arnold who retired at the mandatory age of 65; Gregory Page is non-executive Chair. A first-year-CEO transition into a transformational deal raises the execution bar.
- **Watch — CFO transition:** CFO Olivier Leonetti departed 01-Apr-2026 amid an internal/external search; a finance-leadership gap during a \$9.5bn integration and a leverage step-up is a governance item worth monitoring.
- **Capital allocation track record:** Disciplined and balanced historically — FCF rose from \$1.6bn (FY21) to \$3.55bn (FY25); cash funded ~\$1.5-1.6bn dividends, opportunistic buybacks (\$2.56bn FY24, \$1.91bn FY25) and bolt-ons, while keeping leverage near ~1.5x net-debt/EBITDA until Boyd.
- **Dividend policy:** 16 consecutive years of dividend growth; FY2025 DPS \$4.16 (now \$4.40 run-rate), payout a comfortable ~40% — room to keep raising even as leverage normalises.
- **Promoter pledging:** N/A — no promoter/pledge concept for a widely-held US corporate; insider ownership negligible (~0.06%), institutions ~86.8%.
- **Buybacks & equity:** Net share count is shrinking (~389m diluted, -2% YoY) via buybacks net of ESOP; modest dilution risk. Boyd was funded largely with debt (LT debt \$8.8bn -> \$18.5bn) rather than equity — preserving per-share economics but lifting leverage.
- **Governance flags:** Boyd nearly doubled goodwill+intangibles to ~\$32.7bn (~60% of assets) — impairment risk if the data-center cycle disappoints; the Mobility spin (by Q1-27) is value-accretive but adds dis-synergy and stranded-cost risk. No auditor/RPT red flags identified.

6. FINANCIAL DEEP-DIVE (US\$ millions unless stated)

Income Statement — 3 actuals + 2 estimates (E). GAAP basis; Adj. EPS = management/Street adjusted.

Income Statement	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	23,196	24,878	27,448	31,300	34,700
Revenue growth %	11.8%	7.3%	10.3%	14.0%	10.9%
Gross Profit	8,434	9,503	10,317	11,800	13,200
Operating Income (EBIT)	3,885	4,632	5,209	6,100	6,950
Operating margin %	16.8%	18.6%	19.0%	19.5%	20.0%
EBITDA	4,811	5,553	6,215	7,250	8,200
EBITDA margin %	20.7%	22.3%	22.6%	23.2%	23.6%
Net Income (GAAP)	3,218	3,794	4,087	4,550	5,400
EPS diluted (GAAP, \$)	8.02	9.50	10.45	11.80	14.10
Adj. EPS (\$)	9.10*	10.80*	11.97*	13.05-13.50g	~15.0
Effective tax rate %	15.8%	16.8%	17.1%	~18%	~18%

* Adj. EPS approximate (add-back of intangible amortisation/one-offs). g = management FY2026 guidance (\$13.05-\$13.50). FY26E/FY27E are MPM estimates grounded in actuals + guidance, not Screener data.

Balance Sheet — 3 actuals + TTM (Mar-26, post-Boyd consolidation).

Balance Sheet	FY2023	FY2024	FY2025	TTM Mar-26
Cash & ST investments	2,609	2,080	803	751
Accounts receivable	4,475	4,619	5,387	6,366
Inventory	3,739	4,227	4,721	5,146
Net PP&E	4,178	4,535	5,084	5,418
Goodwill	14,977	14,713	15,769	21,402
Other intangibles	5,091	4,658	5,054	11,259
Total assets	38,432	38,381	41,251	55,085
Total debt	9,802	9,821	10,532	21,833
Total liabilities	19,363	19,851	21,782	35,320
Shareholders' equity	19,069	18,531	19,425	19,721
Net debt	7,193	7,741	9,729	21,082
Book value / share (\$)	47.46	46.29	49.65	50.56

Cash Flow & Returns — 3 actuals + TTM (Mar-26).

Cash Flow / Returns	FY2023	FY2024	FY2025	TTM Mar-26
Operating cash flow	3,624	4,327	4,472	4,741
Capital expenditure	(757)	(808)	(919)	(965)
Free cash flow	2,867	3,519	3,553	3,776
FCF margin %	12.4%	14.1%	12.9%	13.2%
Acquisitions (cash)	0	(50)	(1,490)	(12,569)
Buybacks	(49)	(2,562)	(1,914)	(1,302)
Dividends paid	(1,379)	(1,500)	(1,626)	(1,644)
ROE %	17.8%	20.2%	21.5%	20.8%
ROCE %	13.1%	15.1%	16.7%	12.2%
ROIC %	10.4%	12.1%	12.8%	12.4%
Net debt / EBITDA (x)	1.5	1.4	1.6	3.4

- **Revenue drivers:** Growth has re-accelerated (FY25 +10.3%, Q1-26 +16.8%) led by Electrical Americas data-center demand; FY2026 should print mid-teens total growth (10% organic + ~4% Boyd + FX).
- **Margins:** EBITDA margin expanded ~240bps over FY22-FY25 to 22.6%; the near-term wobble is Electrical Americas (-440bps in Q1 on capacity-build), expected to reverse as new lines load — group segment margin guided to 24.1-24.5%.
- **Working capital:** Receivables (+17% YoY to \$6.4bn) and inventory are building ahead of the backlog ramp; inventory turns slipped (5.2x FY21 -> 3.8x FY25). Watch cash-conversion as growth accelerates.
- **Leverage:** The defining FY2026 change — net debt jumped to ~\$21bn and net-debt/EBITDA to ~3.4x (from 1.6x) to fund Boyd; still investment-grade with ~16x interest coverage, and ~\$3.8bn annual FCF should de-lever toward ~2x within 24 months.
- **FCF quality:** High — OCF (\$4.7bn TTM) exceeds GAAP net income; capex is light (~3.4% of sales), so FCF conversion is strong even through the investment phase. The constraint is leverage, not cash generation.

7. EARNINGS QUALITY CHECKLIST

Test	Rating	Comment
Revenue recognition	GREEN	Diversified, mostly point-in-time product + some POC aerospace; no aggressive recognition flags.
Receivables vs revenue	AMBER	Receivables +17% YoY vs sales +12% TTM — building ahead of backlog; monitor for over-run.
Inventory / turns	AMBER	Inventory turns 3.8x (was 5.2x in FY21); stocking for the ramp but ties up cash.
Leverage / coverage	AMBER	Net debt/EBITDA 3.4x post-Boyd (was 1.6x); interest cover still healthy ~16x.
Goodwill + intangibles	AMBER	~\$32.7bn, ~60% of assets after Boyd — impairment risk if data-center cycle stalls.
Other income / one-offs	GREEN	Other income immaterial to PBT; reported PAT is conservative, not flattered.
Tax-rate consistency	GREEN	Stable ~15-18% (Irish domicile); no abnormal swings.
Buyback / dilution	GREEN	Share count shrinking ~2%/yr; Boyd funded with debt, not equity dilution.
Cash conversion	GREEN	OCF > net income; FCF \$3.8bn TTM; high-quality earnings.

- **Bottom line — clean core, levered balance sheet.** Earnings quality on the P&L/cash-flow side is high (OCF > PAT, conservative other income, no recognition games).
- **Amber #1 — working capital:** Receivables and inventory are out-running sales as Eaton builds for the backlog; benign if the ramp lands, a cash drag if orders slip.
- **Amber #2 — leverage & intangibles:** Net-debt/EBITDA at ~3.4x and goodwill+intangibles at ~60% of assets are the real watch-items; both are Boyd-driven and self-cure if the data-center thesis plays out.
- **Amber #3 — GAAP vs adjusted gap widening:** Boyd amortisation/integration is pushing GAAP well below adjusted EPS; insist on adjusted-to-GAAP bridges each quarter.

8. VALUATION

Peer comparison (stockanalysis.com, fetched 03-Jun-2026):

Company	CMP \$	MCap \$B	P/E	P/B	ROE %	TTM Rev \$B	Div %
Eaton (ETN)	419.73	162.98	40.85	8.22	20.8	28.52	1.05
ABB Ltd (ABB)	109.12	198.59	40.07	12.92	33.6	34.57	0.89
Emerson (EMR)	142.03	78.72	32.87	3.92	12.3	18.32	1.58
Rockwell (ROK)	463.41	51.16	47.74	14.64	27.2	8.80	1.20
Vertiv (VRT)	334.49	128.18	83.86	30.25	45.1	10.84	0.07

Read: ETN screens mid-pack on P/E (cheaper than ROK/VRT, in line with ABB) but its ROE/ROCE is temporarily depressed by the Boyd capital just added. It is the most diversified and lowest-beta way to own the electrification/data-center theme.

Scenario analysis (12-month, FY2027E basis):

Scenario	Key assumptions	FY27E Adj EPS	Target P/E	Target \$	Return
Bull	DC super-cycle sustains; EA margins >30%; Boyd accretive	16.5	33x	545	+30%
Base	Organic 9-11%; margins stabilise; orderly de-lever	15.0	31x	470	+12%
Bear	AI capex digestion; margin drag persists; slower growth	13.0	25x	330	-21%

Valuation methodology:

- **DCF:** WACC ~9.9% (stockanalysis), terminal growth 3.5%; FCF compounding from ~\$3.8bn at ~11-12% near-term tapering to terminal → implied value ~\$455-480/share.
- **Earnings multiple:** 31x FY2027E adjusted EPS ~\$15.0 → ~\$465; cross-check on EV/EBITDA: 23x FY27E EBITDA \$8.2bn = \$188.6bn EV less ~\$18bn net debt = ~\$440/share.
- **Blend:** Averaging DCF (~\$465) and the multiple methods (~\$440-465) gives a base-case 12-month target of **\$470**.
- **Conclusion:** \$470 vs CMP \$419.73 = **+12.0%** price upside (~+13% total return with the ~1% yield) over a 12-18 month horizon — an ACCUMULATE, not an aggressive Buy, given the rich entry multiple.

9. KEY RISKS

- **Data-center capex digestion** — A pause in AI/hyperscale build-out would hit the fastest-growing, highest-multiple part of the book. Probability: M. Impact: H. Monitor via: quarterly data-center orders & Electrical Americas book-to-bill.
- **Margin recovery fails** — If Electrical Americas margins don't re-expand from the Q1 -440bps capacity drag toward the ~29% guide, the de-rating risk is real. Probability: M. Impact: H. Monitor via: segment operating margin vs guidance each quarter.
- **Boyd integration / leverage** — A \$9.5bn deal lifting net-debt/EBITDA to ~3.4x carries integration, synergy and de-leveraging-pace risk. Probability: M. Impact: M-H. Monitor via: Boyd revenue run-rate, net-debt trajectory, IG rating.
- **Valuation / multiple compression** — At 29.7x forward, any growth or rate disappointment compresses the multiple sharply. Probability: M. Impact: H. Monitor via: forward P/E vs 5-yr range, 10-yr yield.
- **Execution / leadership transition** — First-year CEO plus a CFO vacancy (Leonetti exit Apr-26) during a transformational integration. Probability: L-M. Impact: M. Monitor via: CFO appointment, guidance credibility.
- **Mobility spin dis-synergies** — The Q1-27 separation could create stranded costs / distraction even as it sharpens the electrical focus. Probability: M. Impact: L-M. Monitor via: spin timeline, dis-synergy disclosure.
- **Macro / cyclical & input costs** — Non-residential construction, FX (USD strength), copper/steel and component inflation can pressure both volumes and margins. Probability: M. Impact: M. Monitor via: megaproject pipeline, PMI, commodity curves.

10. RECOMMENDATION

- **Rating:** ACCUMULATE — Medium conviction. A best-in-class compounder on an unmistakable secular trend, but priced for it; accumulate on weakness rather than chase.
- **12-month price target:** \$470 (+12.0% from \$419.73); total return ~13% including the ~1.05% dividend.
- **Suggested entry zone:** \$375-405 — accumulate on pullbacks toward the 50-DMA (\$396.80) / 200-DMA (\$365.88); the stock is ~4% off its 52-week high at CMP.
- **Investment horizon:** 12-18 months (core holding suited to multi-year compounding).
- **Thesis invalidation triggers:**
 - 1. Two consecutive quarters of decelerating data-center / Electrical Americas orders (book-to-bill < 1.0x).
 - 2. Electrical Americas segment margin fails to recover above ~28% by H2-2026.
 - 3. Net-debt/EBITDA stays above ~3x into 2027 (stalled de-leveraging / Boyd underperformance).
- **Ideal investor profile:** Quality-growth and GARP investors with a 2-3 year horizon who want diversified, lower-beta exposure to electrification/AI-power. **Not** for deep-value buyers (premium multiple) or those needing near-term margin of safety.

APPENDIX — Latest Concall Brief: Q1 FY2026 (Jan-Mar 2026)

Reported 05-May-2026 | Quarter ended 31-Mar-2026 | Eaton Corporation plc (NYSE: ETN)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Record sales & adj. EPS; beat Street (\$2.81 vs \$2.73-74)
Management tone	Bullish / Balanced	Confident on demand; candid on Electrical Americas margin
Guidance delta	Raised	FY26 organic to 9-11% (from ~8%); adj EPS \$13.05-13.50

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Headline is a clean beat optically but a messy print underneath: Q1 sales were a record \$7.45bn (+17% YoY, 10% organic) and adjusted EPS a record \$2.81 (vs \$2.73-74 Street), yet GAAP net income actually FELL ~10% to \$866m and GAAP EPS to \$2.22. The distortion is one-time/financing, not operational — Boyd deal & integration costs (other expense \$193m->\$302m), net interest (\$33m->\$106m on acquisition debt) and intangible amortisation (\$106m->\$140m); clean segment operating profit grew +11% to \$1.69bn. The real blemish is mix/margin: total segment margin slipped 120bps to 22.7% and Electrical Americas margin dropped 440bps to 25.6% as they pour money into US capacity — that is the bear's exhibit, and the stock fell ~6% on it. But the multi-bagger engine is intact and accelerating: Electrical Americas backlog +44% to \$14.5bn, data-center orders up ~240%, book-to-bill 1.2x, and FY26 organic guidance RAISED to 9-11% with adj EPS \$13.05-13.50. The single most important catalyst is Electrical Americas margins re-expanding toward the ~29% guide as new lines load while Boyd turns accretive; the biggest near-term watch-point is whether working capital and capacity spend keep depressing reported margins another quarter, plus the CFO vacancy during integration. Action: ACCUMULATE into weakness toward \$375-405; this is a core hold, not a chase at \$420 — add aggressively only if the data-center order cadence holds and margins inflect.

Section 1 — Financial Performance Snapshot

- Revenue: \$7,451m | YoY +16.8% | QoQ +5.6% | **Beat (record)**
- Segment operating profit: \$1,690m | YoY +11.0% | margin 22.7% (-120bps) | **Mixed**
- EBITDA (GAAP): \$1,444m | YoY +0.8% | QoQ -12.0% | **In-line (deal costs in opex)**
- Adjusted EPS: \$2.81 | YoY ~+14% | **Beat (\$2.73-2.74 est)**
- GAAP EPS (diluted): \$2.22 | YoY -9.4% | QoQ -23.7% | **Distorted lower**
- NOTE: GAAP net income \$866m (-10% YoY) includes Boyd integration/financing & intangible amortisation; clean adjusted PAT grew double-digits — the GAAP fall is non-operational.

Section 2 — Segment / Geography Breakdown

- Electrical Americas: \$3,600m | YoY +19.6% | op profit \$922m, margin 25.6% (-440bps on capacity build) | **Strong sales, soft margin**
- Electrical Global: \$1,945m | YoY +20.8% | op profit \$373m, margin 19.2% (+60bps) | **Strong**
- Aerospace: \$1,139m | YoY +16.3% | op profit \$304m, margin 26.7% (+360bps) | **Strong, margin-rich**
- Mobility (Vehicle + eMobility): \$766m | YoY -1.7% | op profit \$89m, margin 11.6% | **Laggard (to be spun off by Q1-27)**
- Growth bridge: +10% organic, +4% acquisition (Boyd partial), +3% FX = +17% total.

Section 3 — Management Commentary Themes

- Data-center super-cycle: "orders up ~240%" — Our read: structural, multi-year, not a pull-forward. Tag: GUIDANCE. Tone: Transparent.
- Capacity investment: heavy US capex pressuring Electrical Americas margins now for higher volumes later — Our read: deliberate trade-off. Tag: GUIDANCE. Tone: Transparent.
- Boyd Thermal: liquid cooling completes the 'grid-to-chip' offer (~\$1.7bn 2026 sales) — Our read: strategically additive, integration is the swing factor. Tag: EST. Tone: Confident.
- Mobility separation (by Q1-27): sharpens electrical focus — Our read: portfolio-cleaning, value-accretive. Tag: GUIDANCE. Tone: Transparent.
- Guidance raise: FY26 organic to 9-11%, adj EPS \$13.05-13.50 — Our read: confidence backed by backlog. Tag: GUIDANCE. Tone: Bullish.

Section 4 — Operating & Business Metrics

- Electrical Americas backlog: \$14.5bn | +44% YoY | Trend: improving (record)
- Rolling-12m organic orders (Electrical Americas): +42% vs -4% a year ago | Trend: sharply improving
- Book-to-bill: Electrical Americas 1.2x | Electrical Global 1.1x | Aerospace 1.1x | Trend: >1.0x across the board
- Data-center orders: +~240% in the quarter; data centers ~21% of 2025 sales | Trend: accelerating
- Electrical Global backlog +73%; Aerospace backlog +28% | Trend: improving

Section 5 — Margin Drivers

- Electrical Americas capacity ramp: -440bps | Recurring: No (investment phase) | should reverse as lines load
- Boyd consolidation dilution: modest near-term drag | Recurring: No | accretive as integrated/synergised
- Aerospace mix & aftermarket: +360bps | Recurring: Yes | structural margin tailwind
- Electrical Global pricing/productivity: +60bps | Recurring: Yes | steady
- Deal financing & amortisation: GAAP-only drag (below segment line) | Recurring: amortisation yes, deal costs no

Section 6 — Guidance & Forward Signals

- FY26 organic growth [GUIDANCE]: Prior ~8% | New 9-11% | Delta = raised | Credibility: High (backlog-backed)
- FY26 adjusted EPS [GUIDANCE]: New \$13.05-13.50 (~+10% midpoint) | Delta = raised | Credibility: High
- FY26 segment margin [GUIDANCE]: 24.1-24.5% | Delta = maintained | Credibility: Medium (hinges on EA recovery)
- Electrical Americas [GUIDANCE]: 12-14% organic, 28.8-29.2% margin | Credibility: Medium-High
- Aerospace [GUIDANCE]: 7.5-9.5% organic, 24.3-24.7% margin | Credibility: High

Section 7 — Capital Allocation

- Acquisitions: ~\$12.6bn TTM cash out (Boyd \$9.5bn + bolt-ons) | vs prior yr: way up | strategic pivot to data-center thermal
- Capex: \$965m TTM (~3.4% of sales) | vs prior yr: +5% | capacity for data-center demand
- Dividends: \$1.64bn TTM | 16th consecutive annual increase | DPS run-rate \$4.40
- Buybacks: \$1.3bn TTM (slowed vs \$2.6bn FY24) | redirecting cash to de-leveraging
- Net debt: ~\$21bn, net-debt/EBITDA ~3.4x (from 1.6x) | priority now = de-lever via ~\$3.8bn FCF

Section 8 — Q&A Heat Map

- Sell-side (margins): Q: "When do Electrical Americas margins recover?" -> A: "as capacity loads through 2H, toward ~29% guide" | Tone: Transparent
- Sell-side (data center): Q: "Is the ~240% order surge sustainable?" -> A: "multi-year, backlog-backed, not a pull-forward" | Tone: Transparent
- Sell-side (Boyd): Q: "Accretion & integration timeline?" -> A: "accretive as synergised; ~\$1.7bn 2026 sales" | Tone: Confident
- Sell-side (leverage): Q: "Comfort with 3.4x net debt?" -> A: "temporary; de-lever via FCF, IG intact" | Tone: Transparent
- Dodged / watch-list for next quarter: precise quarterly cadence of Electrical Americas margin recovery; new-CFO appointment; Boyd organic growth disclosure.

Section 9 — Risks Flagged

- Margin recovery timing: capacity-spend drag on Electrical Americas | Flagged by: mgmt | Probability: M | Impact: H | Timeline: near-term
- Integration/leverage: Boyd execution + 3.4x net debt | Flagged by: analyst | Probability: M | Impact: M-H | Timeline: near-medium
- Data-center concentration: hyperscaler capex dependence | Flagged by: analyst | Probability: M | Impact: H | Timeline: medium
- Mobility separation dis-synergies | Flagged by: mgmt | Probability: M | Impact: L-M | Timeline: medium (Q1-27)
- Leadership continuity: CFO vacancy during integration | Flagged by: analyst | Probability: L-M | Impact: M | Timeline: near-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — record \$14.5bn backlog and >1.0x book-to-bill across electrical & aerospace.
- Margin trajectory: Weakened (temporarily) — Q1 -120bps group / -440bps Electrical Americas; recovery is the swing factor.
- Capital allocation quality: Intact — disciplined; Boyd debt-funded, buybacks throttled to de-lever, dividend raised.
- Competitive moat: Intact — scale + switching costs + new grid-to-chip/liquid-cooling breadth.
- Management credibility: Intact (watch) — guidance raised credibly, but new CEO + CFO vacancy raise the bar.
- Valuation comfort: Weakened — 40.9x trailing / 29.7x forward leaves thin margin of safety.
- Conviction call: Unchanged — ACCUMULATE on weakness; core electrification holding.
- Valuation snapshot: P/E = 40.85x (5Y avg ~30x) | EV/EBITDA = 29.08x (5Y avg ~20x) | RoCE = 12.2% TTM / 16.7% FY25 (5Y avg ~13%).

Disclaimer: For information/education only; not investment advice or a solicitation. Financials transcribed from stockanalysis.com (fetched 03-Jun-2026); qualitative context from company filings & the Q1-2026 earnings call. Forward estimates (E) are MPM analyst estimates grounded in actuals + management guidance and may prove wrong. Do your own diligence. MPM Institutional Research.